

ShieldAI — Market Analysis

For pitch preparation and investor Q&A · Compiled June 2026

How to use this: These are real, sourced figures to ground your pitch and answer investor questions confidently. Market-size estimates vary widely by research firm — I've shown ranges and named sources so you can cite honestly. When an investor pushes on a number, "estimates range from X to Y depending on how you scope it; here's the source I'm using" is a *stronger* answer than a single suspiciously-precise figure. Round in conversation; cite when pressed.

1. The headline numbers (memorize these)

Metric	Figure	Source
US small businesses	36.2 million (99.9% of all US businesses)	SBA Office of Advocacy, 2025
— of which have employees	~5.8M employer firms (30.4M are solo/nonemployer)	SBA Office of Advocacy, 2025
SMBs with no cybersecurity budget (<50 employees)	47%	StrongDM / CrowdStrike, 2025
SMBs with no security measures at all	51%	StrongDM, 2025
SMBs with a formal incident response plan	only 34%	Guardz, 2025
Global SMB cybersecurity spending (by 2026)	\$109 billion , growing ~10%/yr	Analysys Mason
vCISO market (2025)	~ \$2.0–2.9B , growing 15%+ CAGR	Multiple (see §3)
Full-time CISO cost	\$200K–\$400K+/year	Industry standard
Avg. data breach cost, small business	~ \$120K (some sources cite far higher)	Total Assure, 2025
Cyber positions unfilled globally	3.4 million	Industry (talent shortage)

The one-sentence version: *36 million US small businesses, nearly half with no security budget, are being forced by insurers and regulators to get protection they can't afford to staff — and the market for outsourced security leadership is already \$2B+ and growing 15%+ a year.*

2. The Problem, quantified (your Slides 2–3 ammunition)

The affordability gap is real and large:

- A full-time CISO runs **\$200K–\$400K+/year** — impossible for a business with a handful of employees.
- Yet the foundational security tools and expertise "cost roughly the same whether you have 10 employees or 100" (Cyber Unit, 2026) — so small businesses pay *more* as a % of revenue, making the buy vs. build math even worse for them.

Most small businesses are dangerously exposed:

- **47%** of businesses under 50 employees have **zero** cybersecurity budget (StrongDM/CrowdStrike, 2025).
- **51%** have no security measures in place.
- Only **34%** have a formal incident response plan (Guardz, 2025).
- Only **13%** conduct proactive security audits; only **~20%** do annual penetration testing.
- One-third rely on free, consumer-grade tools.

The cost of doing nothing is quantified — useful for ROI framing:

- A tested incident-response plan reduces breach cost by **\$232,007** (IBM data).
- Small businesses represent **43% of all cyberattacks** (Alpha CIS, 2026).
- SMB attack incident rates climbed **47% year-over-year** (Total Assure, 2025).
- Prevention investment ROI consistently exceeds **7x** across threat categories.

Pitch line: "A minimal security program costing \$5K–\$15K a year would save hundreds of thousands in a breach. The businesses that spend nothing are the ones that pay the most."

3. The vCISO Market (your core market — Slide 9)

This is your most directly relevant market. **Be honest that estimates vary** — research firms scope "vCISO" differently, so figures range widely. Cite the range, not a fake-precise

number.

Source	2024-25 value	Forecast	CAGR
Market Research Intellect	\$2.89B (2025)	\$12.08B by 2035	15.4%
DataInsights	~\$2B (2025)	~\$7B by 2033	~15%
Verified Market Reports	\$1.4B (2024)	\$3.8B by 2033	12.2%
Business Research Insights	\$1.06B (2024)	\$1.48B by 2032	6.3%

Honest synthesis for the room: *"The vCISO market is roughly \$2 billion today and most credible forecasts put it growing 12-15%+ annually, reaching somewhere between \$4 billion and \$12 billion within the decade. The spread reflects how you define the category — but every source agrees on the direction and the double-digit growth."*

Why the market is growing (all cited as drivers):

- Escalating threat frequency and sophistication
- The **3.4M** global cybersecurity talent shortage — you can't hire CISOs that don't exist
- Compliance and data-privacy regulation expanding
- AI making expert guidance deliverable at low cost (this is *your* tailwind specifically)

4. Why Now — the demand is being forced (your Slide 3)

This is the strongest part of your story. Small businesses aren't choosing to care about security — they're being *compelled*. Three converging pressures:

A. Cyber insurance is now a gatekeeper.

- US cyber insurance market: **~\$3.2B (2024) → projected \$3.9B (2025)**, growing **~22.5% CAGR** to \$30B+ by 2035 (Market Research Future).
- **63% of SMBs saw premiums increase 200%+** in 2025 (Total Assure).
- Insurers now demand proof of security controls (MFA, IR plans, etc.) *before* issuing or renewing — "identity-first security has become a non-negotiable requirement to secure any coverage" (SentinelOne, 2026).
- Businesses with **<\$25M revenue made 64% of all cyber-insurance claims** in 2025 — insurers are tightening exactly on your target segment.

B. Big customers push requirements down the supply chain.

- Larger clients increasingly require vendors/partners to carry cyber insurance and prove controls — "without coverage, you may lose business opportunities or face contract restrictions" (Alpha CIS, 2026).
- Supply-chain attacks carry the highest average claim value (**\$318K**) — driving everyone to vet their small vendors.

C. Regulation is expanding into the small-business tier.

- HIPAA (healthcare), CMMC (defense contractors), FTC Safeguards Rule, and state privacy laws now carry significant financial penalties.
- CMMC specifically is forcing a wave of small defense-supply-chain manufacturers (like your demo's "Apex Manufacturing") to act.

Pitch line: "We're not betting on small businesses suddenly *caring* about security. Their insurers, their biggest customers, and their regulators are making the decision for them. Demand is being manufactured by forces outside our control — we just have to be there to meet it."

5. Market Sizing — TAM / SAM / SOM (build your Slide 9 from this)

Use a **bottom-up** calculation; investors trust it more than top-down "1% of a huge market" hand-waving. Here's a defensible framework — plug in your real pricing and target segment.

TAM (Total Addressable Market):

- The global SMB cybersecurity spend is **~\$109B by 2026**. The vCISO slice is **~\$2B+ and growing 15%/yr**. Use the vCISO figure as your honest TAM — it's the category you're in.

SAM (Serviceable Available Market) — bottom-up example:

- US small businesses with employees: **~5.8M**
- Narrow to your realistic target: businesses that are regulated, insured, or in a supply chain — e.g. healthcare practices, financial advisors, defense-supply manufacturers, professional services. A conservative slice might be **10-20% → ~600K-1.2M businesses**.
- At an example **\$3,600/yr** average (blended self-serve + managed), even 600K businesses = a **~\$2B+ SAM**.
- (*Replace \$3,600 with your real blended ARPU once pricing is set.*)

SOM (Serviceable Obtainable Market) — what you can realistically capture:

- Be modest and credible. If you capture **1% of a 600K SAM** at \$3,600/yr = ~\$21.6M ARR. State a 3-5 year path to a number like this, not a fantasy.

Honesty note: Don't claim the whole \$109B. Investors respect "here's the specific, reachable slice and our bottom-up math" far more than a giant top-down number. The forced-demand story (§4) is what makes even a modest SOM credible.

6. Competitive Landscape (your appendix Competition slide)

The vCISO market is described repeatedly as "**highly fragmented**" — a mix of:

A. Traditional vCISO / consulting firms (Fractional CISO, FRSecure, Kroll, BSI, UnderDefense, etc.)

- *Their weakness:* human-only, expensive, doesn't scale, priced for mid-market+ not small business.
- *Your edge:* AI does the heavy lifting, so you serve the small end profitably where they can't.

B. AI-native vCISO entrants (Cynomi, RealCISO, Trava, etc.)

- *The real competitors to watch.* Cynomi in particular is an AI-driven vCISO platform for MSPs.
- *Your differentiation must be sharp here:* your deterministic NIST scoring engine (auditor/insurer-trusted), the engineer-in-the-loop quality model, and your specific wedge-to-managed motion.

C. DIY tools & MSPs (RapidFire, managed IT providers adding security)

- *Their weakness:* tools without strategy; MSPs lack deep security leadership.
- *Your edge:* you deliver the *CISO function* (strategy, score, program, compliance), not just tooling.

Prepare for: "How are you different from Cynomi?" Have a crisp answer ready — likely some combination of: your scoring methodology, your direct-to-SMB + managed-services hybrid (not just selling to MSPs), and your roadmap to deployed agents + live monitoring. Know their model before pitch day.

7. Anticipated investor questions (with data-backed answers)

"Is the market really big enough?"

"The vCISO category alone is ~\$2B growing 15%+, inside a \$109B SMB security market. But the more important point is *forced demand*: 47% of small businesses have no security budget today, and insurers and regulators are now requiring them to change that. We're sized against a market that's being created in real time."

"Why won't the incumbent consultants just move down-market?"

"They can't profitably. Their model is human-hours; serving a 20-person business at a price it can afford doesn't work when a consultant costs \$200K+. Our AI does 80% of the work, so the unit economics that break for them work for us."

"What about Cynomi and other AI vCISO startups?"

(Have your specific answer — methodology, SMB-direct + managed hybrid, agent roadmap. Don't pretend they don't exist; show you know the landscape.)

"What's your realistic share?"

"We're not claiming the category. Our bottom-up SOM targets [X] businesses in regulated/insured segments; capturing 1% is a ~\$20M ARR business, and we see a credible path there in [N] years through the self-serve wedge converting to managed plans."

"How do you acquire customers cheaply?"

(Your real GTM — but note the tailwind: insurers and larger customers are effectively referring businesses to solutions like yours by requiring controls. Channel partnerships with insurers/MSPs are a natural low-CAC path.)

8. Sources (for your own reference / appendix)

- US small business count: SBA Office of Advocacy, 2025 (36.2M; ~5.8M employer firms)
- SMB security gaps: StrongDM/CrowdStrike 2025; Guardz 2025; SQ Magazine
- SMB security spend: Analysys Mason (\$109B by 2026)
- vCISO market: Market Research Intellect, DataInsights, Verified Market Reports, Business Research Insights (2024–26)
- Cyber insurance: Market Research Future, SentinelOne, Total Assure, Alpha CIS, Embroker (2025–26)
- Breach economics: IBM (IR plan saves \$232K); Total Assure (breach costs, claim data)
- Talent shortage: 3.4M unfilled positions (industry-wide, 2025)

Before pitch day: re-verify the 2–3 figures you'll lean on most (market sizes shift quarterly), and lock in your own real numbers for ARPU, pricing tiers, target segment size, and the resulting SAM/SOM. The framework here is sound; the inputs in [brackets] are yours to finalize.